

Closing the Gap on Myntra

Win on **trusted value**, not on being cheaper — by turning returns into an owned-store advantage Myntra cannot replicate.

Price already wins the customer — the plan fixes what sends them back.

Customers try AJIO for price, then churn back to Myntra over trust, sizing, service and app usability. Acquisition is not the problem; retention is.

9–30%

Online-fashion share —
contested and definition-
dependent across sources.
Directional.

~28%

Return-to-origin rate — the
single biggest margin lever this
plan pulls. Single-sourced.

–18.75

AJIO Net Promoter Score
against Myntra’s **+37.5** — the
trust gap, measured.

This is a challenger closing a documented gap, not a duel of equals.

MYNTRA · ASCENDANT

₹6,042.7 cr FY25 revenue, up 18%

₹548.3 cr PAT — an 18× jump

Parent Flipkart **IPO-bound**, late 2026 / early 2027

M-Now quick-commerce: **90+** dark stores across **11** cities

AJIO · RESETTING

20–30% of the team cut in the 2025 reshuffle

New CEO **Sandeep Karwa** (May 2026); Nair elevated, not ousted

Fashion & lifestyle flagged **soft** by Reliance itself

A reset already in motion — not a hypothetical

WHY NOW A new CEO with an ads-and-marketplace background has taken over a business that has publicly acknowledged it needs fixing. This is when a coherent three-year plan gets adopted, not ignored.

THE ONE CHAIN THE WHOLE PLAN HANGS ON

Trust → **Retention** → **Share**

Trust is the **mechanism**; market share is the **outcome**. Fix returns and trust, stop losing retained customers back to Myntra, protect LTV instead of re-spending CAC to reacquire them — and share compounds.

AJIO trails Myntra on every attribute — the gap is widest on returns and refunds.



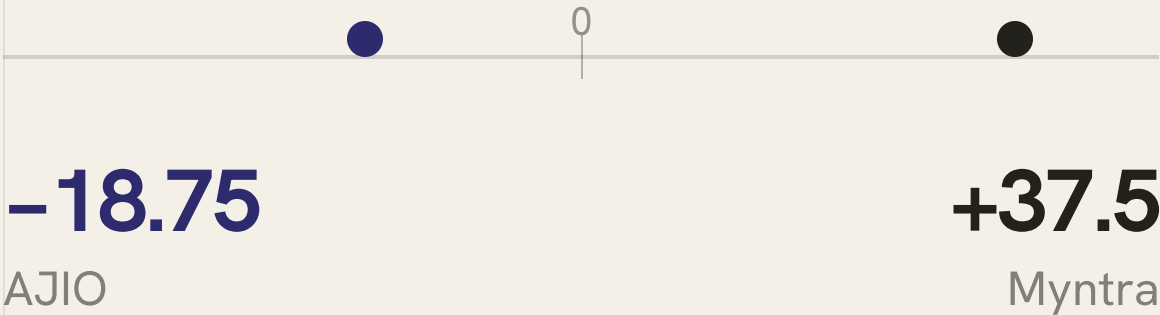
Primary survey (n=16). Only the returns/refunds gap (+1.18) is quantified and price is confirmed as the narrowest; open bars are indicative of order, not scale.

Fake product and sizing are the tied #1 reason behind a 56-point NPS gap.

WHY THEY SWITCH

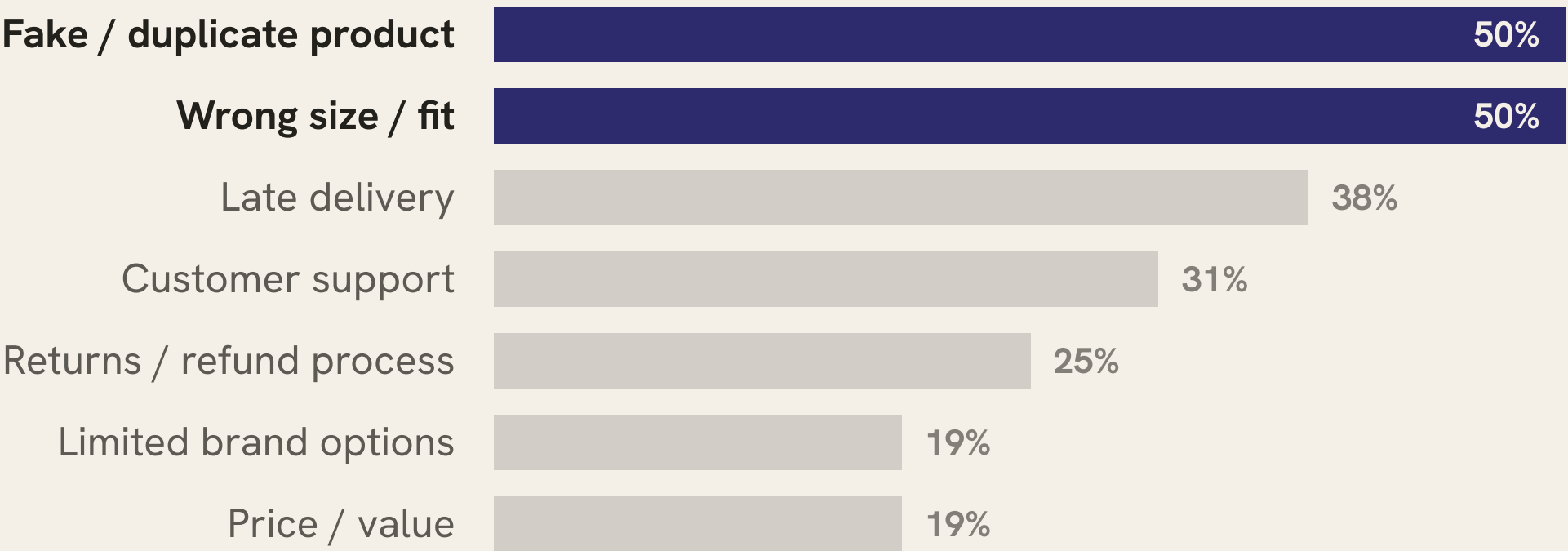
In for price.
Back for trust.

NET PROMOTER SCORE



A 56-point spread on the same scale.

TOP COMPLAINTS — SHARE OF RESPONDENTS CITING EACH



Three independent methods converge on the same four gaps.

PRIMARY SURVEY

n=16. AJIO trails on every rated attribute; returns, trust and sizing lead the complaints.

SECONDARY SENTIMENT

Reddit, Quora and complaint platforms surfaced the counterfeit and first-copy concern before the survey ran.

UX TEARDOWN

A separate audit found AJIO’s category structure confusing against Myntra’s intuitive navigation.

CONVERGING ON **Trust · Sizing · Service · App usability**

WHERE THIS EVIDENCE STOPS The survey skews metro (63%) and young — reliable on the trust and UX diagnosis, not on Tier 2/3 behaviour. That geographic case rests on Redseer and Bain, never on the survey.

AJIO's returns problem is its **unfair advantage.**

Turn returns and exchanges into a physical-store advantage through Reliance's owned fashion network — the one mechanic both source documents reached independently.

The highest-leverage move, not one of six.

01 Attacks the widest measured gap

Returns/refunds is AJIO's single largest attribute deficit — the best-evidenced target on the board.

03 Converts a pure cost into value

Return-to-origin runs 25–35% industry-wide. In-store absorption avoids the reverse trip — a more defensible lever than price cuts.

02 Uses the one asset Myntra can't match

Reliance's 18,000+ owned stores are the absorption network. Myntra has no owned base to match it.

04 Builds the trust that stops the leak

Effortless, local returns end the churn back to Myntra — protecting LTV instead of re-spending CAC.

18,000+

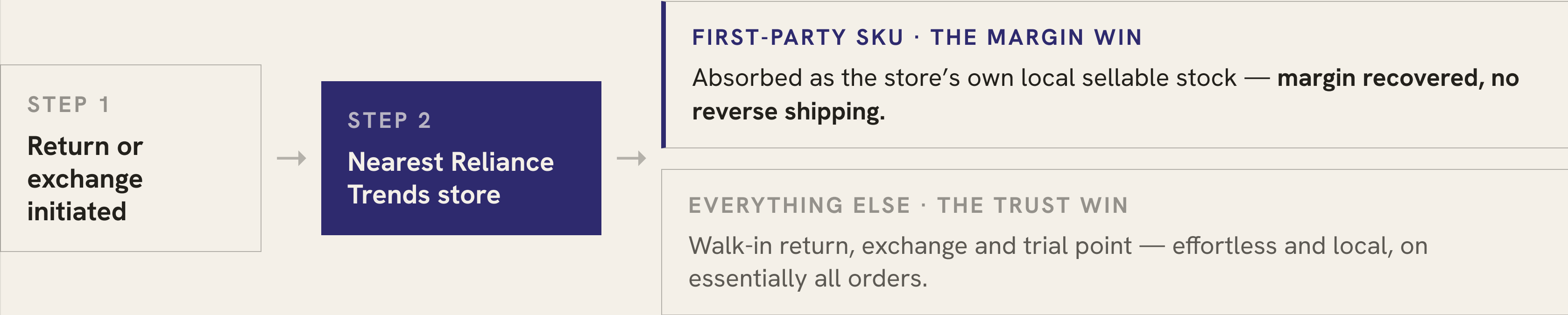
Reliance-owned stores — the fashion-format subset plus ~4,000 stock points is the returns-absorption network.

THE ASSET MYNTRA CAN'T BUY

Myntra tried offline — Roadster stores from 2017 and a kirana-based last-mile network. Neither compounded to anything near Reliance's scale.

Not “Myntra can’t” — “Myntra tried a fraction of this, and it didn’t compound.”

A return routes to the nearest Trends store — recovered stock or a trust win.



Does the economics work? Fashion return-to-origin runs **25-35%** — every point avoided is a direct contribution-margin gain. A capability to build, not one 10 AJIO has today.

Two benefits, honestly scoped: CX on all orders, margin on first-party stock.

CUSTOMER-EXPERIENCE BENEFIT

Essentially all orders

Any nearby store can act as a walk-in return, exchange and trial point. This is the trust mechanism, and it reaches almost the whole book.

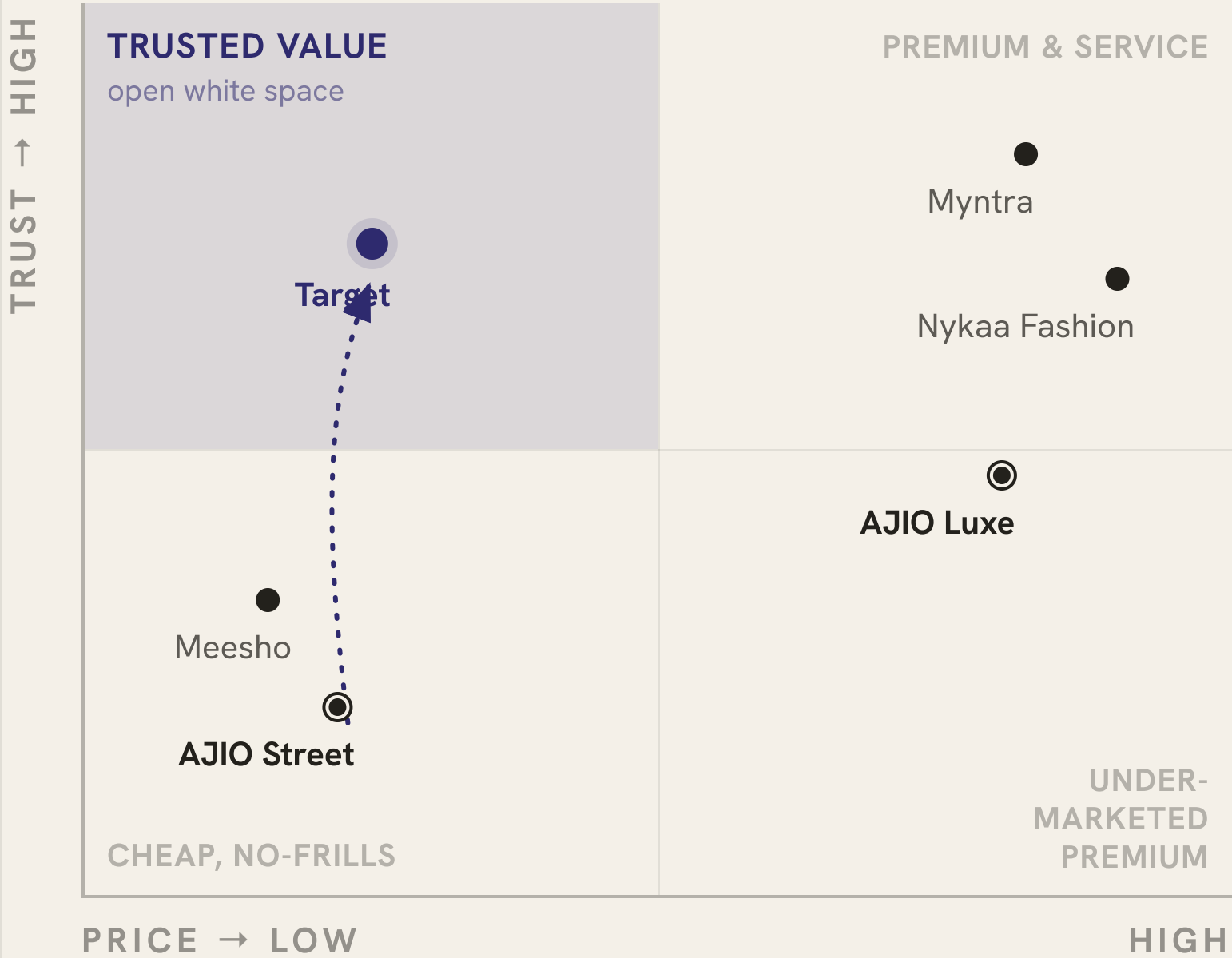
MARGIN BENEFIT

First-party SKUs only

A return is absorbed as resellable local inventory only where the item is first-party and a nearby store carries that SKU — a subset of volume, not 100%.

THE COMPOUNDING More first-party share means more of the returns flow qualifies for the margin benefit — which is exactly why the **Year 3 own-brand push** matters. The two strategies compound.

Hold price, rise on trust — claim the open “trusted value” quadrant.



THE MOVE

Hold price.
Rise on trust.

Myntra owns premium and service; Meesho owns rock-bottom and no-frills. Neither owns **trustworthy value** — and AJIO already has the price permission to claim it.

A **held** price, not a move to mid-price: AJIO stays in the sub-₹800 value tier (Redseer) while trust rises. Positions are qualitative.

The bet maps cleanly onto all four revenue lines.

REVENUE LINE	STATUS TODAY	WHAT THE BET DOES
GMV / direct sales	Private labels are already a structural strength.	First-party returns become resellable local stock — direct margin recovered.
Marketplace commissions	Dropship has no QC checkpoint — the counterfeit mechanism.	In-store verification adds the authenticity check the model is missing.
Advertising	Myntra earned ₹914.5 cr in FY25 (+28%). AJIO has no public equivalent.	New CEO built Flipkart Ads — a real gap and a credible capability to close (Year 2).
Private-label margin	The strongest line — equity AJIO owns outright.	Year 3 own-brand push widens the share of returns that qualify for the margin benefit.

One three-year progression: earn trust, deepen the moat, convert to share.

YEAR 1

Earn the trust back

Stop the bleeding. Win trust and cost.

Trust Point pilot (20–30 stores)

AI size-prediction

Standalone financial reporting

YEAR 2

Deepen the moat, open a new revenue line

Invest.

Scale Trust Point to Tier 2/3

Conversational styling assistant

Build the advertising revenue line

YEAR 3

Convert trust into share and margin

Scale.

National rollout + AI photo-verification

Own-brand margin push

“Trusted Value” brand campaign

Year 1 — Earn the trust back.

YEAR 1 · TRUST & COST

■ CORE — NON-NEGOTIABLE

Trust Point pilot

First-party only, ~20-30 Reliance Trends stores across 5-6 metros, dedicated staff, no POS integration yet.

AI size-prediction

Attacks the #1 tied complaint and doubles as fraud-verification tooling for Trust Point.

Standalone financial reporting

GMV, contribution margin and CAC/LTV by channel — the metrics this plan is graded on.

YEAR 2 · MOAT & REVENUE

YEAR 3 · SHARE & MARGIN

□ PARALLEL — LOWER-COST

Resolve the Street / Luxe split

Settle the AJIO Street and AJIO Luxe identity conflict.

Homepage & category cleanup

Begin the IA and category-depth fixes from the UX teardown.

Loyalty activation

Awareness is 75%; the problem is conversion to use at 19%.

Year 2 — Deepen the moat, open a new revenue line.

YEAR 1 · TRUST & COST

YEAR 2 · MOAT & REVENUE

YEAR 3 · SHARE & MARGIN

■ CORE — NON-NEGOTIABLE

Scale Trust Point to Tier 2/3

Real refund-to-original-payment integration and formalised store-staff incentives.

Conversational styling assistant

Myntra’s My Stylist / MyFashionGPT equivalent — now that sizing is live.

Build the advertising revenue line

Myntra earned ₹914.5 cr in FY25 (+28%). The new CEO built Flipkart Ads.

□ PARALLEL — LOWER-COST

Acquire via the Jio ecosystem

MyJio, JioMart and the recharge base — consented first-party data.

AI routing & demand forecasting

Order-routing and local forecasting across the stock-point network.

Year 3 — Convert trust into share and margin.

YEAR 1 · TRUST & COST

YEAR 2 · MOAT & REVENUE

YEAR 3 · SHARE & MARGIN

■ CORE — NON-NEGOTIABLE

National Trust Point rollout

AI photo-verification before the customer travels to a store.

Own-brand margin push

Launch 1-2 AJIO-native brands; make select labels exclusive; tie-ups only as accelerators.

□ PARALLEL — LOWER-COST

“Trusted Value” brand campaign

Sequenced last — only once operations can back the promise.

Capture Tier 2/3 share

Where M-Now’s dark-store network does not reach.

Every point of RTO reduction is a direct margin gain.

METRIC	TODAY	3-YR TARGET	BASIS
Return-to-origin (RTO)	~28%	22%	Target · conservative pace
Loyalty activation	19%	42%	Target
Net Promoter Score	–18.75	+25	Target
Customer acquisition cost	measure first	down	Benchmark · directional
Contribution margin	measure first	up / RTO pt	Benchmark · directional

All six key areas are addressed inside the one bet.

Competitive Positioning Trusted Value repositioning; the Street / Luxe resolution.	Technology UX/IA cleanup, Trust Point inventory-eligibility system, standalone financial reporting.	Supply Chain Trust Point returns-as-local-inventory.
Merchandising Private-label expansion, deliberate Luxe curation, Year 3 native brands.	Customer Experience Returns / exchange, authenticity program, loyalty activation.	AI Adoption Size-prediction first, then styling assistant, then routing / forecasting.

Myntra will spend harder — but capital can’t buy an owned network.

MYNTRA’S LIKELY RESPONSE

Fresh capital: FY25 PAT of **₹548.3 cr** (18x) and a Flipkart IPO with losses already cut 37%.

More aggression, not retrenchment — funded and confident.

A widening AI and quick-commerce lead: M-Now at **90+** dark stores across **11** cities.

WHY THE POSITION HOLDS

The bet is chosen to sit where Myntra’s capital **cannot follow**.

It competes on Reliance-exclusive assets: an owned physical footprint, telecom bundling, backward-integrated private labels.

Myntra can out-spend on ads, AI and dark stores — it cannot buy an owned 18,000-store network, and its own offline attempt did not compound.

We audited our own inputs: the corrections we applied.

AS FIRST STATED	CORRECTED TO
AJIO Rush in 6 cities; 600+ excluded as unreliable	→ 600+ cities (RRVL Q4 FY26) — delivery reach, not 600 dark stores
New CEO framed as Nair being removed	→ Nair elevated, not ousted; Karwa’s ad background linked to Year 2
Meesho Mall as a branded-fashion push	→ A value-segment threat from below in Tier 2/3
M-Now at 87 dark stores / 10 cities	→ 90+ dark stores / 11 cities (Chennai added)
“Myntra cannot copy owned-store returns” (absolute)	→ Myntra tried a fraction of this and it did not compound
Move to a mid-price position	→ A held (low) price, trust rising — sub-₹800 tier per Redseer

What we’d stake the argument on — and what we wouldn’t.

Confirmed Corroborated across sources	Myntra FY25 financials, confirmed across 7 outlets ; the M-Now footprint (90+/11). Stake the argument here.
Strong Credible source type, limited corroboration	The layoffs, the CEO change, and the ~28% RTO — single-sourced . A STRONG tag means a credible source <i>type</i> , not multiple corroboration.
Reported / directional Colour, not core evidence	The 9–30% share range, the ₹2,000 cr private-label and coupon/kiosk specifics, the refund-fraud figure, and the primary survey (unverifiable by design). None anchor the core argument.

Win on **trusted value**, not on being cheaper.

THE YEAR 1 ASK

01

Approve the Trust Point pilot

Budget for 20-30 Reliance Trends stores.

02

Fund AI size-prediction

Attacks the #1 complaint; verification tooling too.

03

Stand up standalone reporting

GMV, contribution margin, CAC/LTV by channel.

The testable first step: a 20-30 store pilot we can measure inside four quarters.